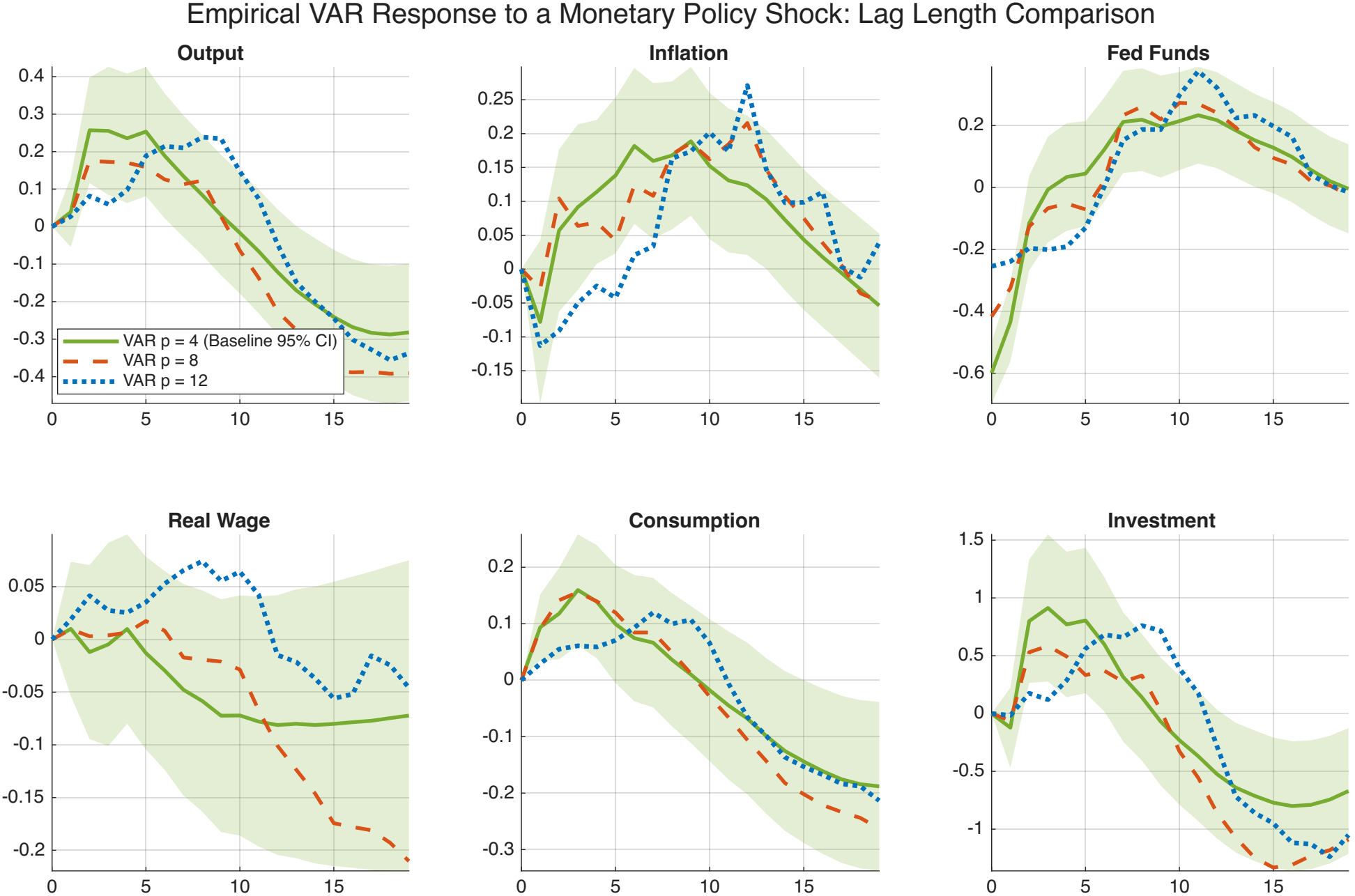
Empirical VAR Response to a Monetary Policy Shock: Lag Length Comparison
Output
Inflation
Fed Funds
Real Wage
Consumption
Investment
VAR p = 4 (Baseline 95% CI)
VAR p = 8
VAR p = 12